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China Basic Materials

May 26 NBS data remains soft; market to focus on Hormuz reopening and interest rate expectations

China's May activity data remained soft ([link](#) to report), reinforcing a still-cautious domestic demand backdrop for commodities. Against this backdrop, in our view, improving expectations of US-Iran de-escalation and a potential reopening of the Strait of Hormuz could support a tactical rebound in metals names that have been pressured by risk-off sentiment since the onset of the conflict, with copper and gold likely offering greater share-price recovery potential. Aluminum is more nuanced: reopening could release constrained Middle East inventories and pressure LME prices near term, recently around US\$3,360/t, but we remain constructive medium term, as the market appears to have priced in Indonesia's new capacity ahead of any material 2027 impact, while our commodities team still forecasts a ~1.7mmt primary aluminum deficit in 2026. On lithium, prices have found support around RMB165k/t, but signals remain mixed; we expect prices to stay broadly range-bound near current levels, with volatility driven by supply response headlines, inventory data and downstream demand signals. In coal, following the Shanxi accident, prices — particularly coking coal — have continued to move higher, and we expect prices to remain elevated into 3Q26, keeping steel margins under pressure. **Zijin Mining** and **Zijin Gold** remain our top picks on the back of Hormuz reopening and interest rate expectations as key catalysts. We also continue to favor **Chalco** and **China Hongqiao** as key aluminum beneficiaries, with potential valuation re-rating versus overseas peers and progress on destocking as catalysts to monitor.

Asia Basic Materials

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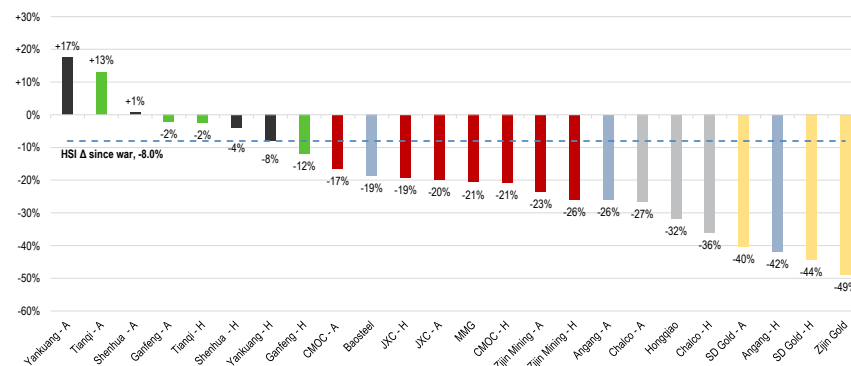
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Figure 1: Stock Price Performance since US-Iran Conflict



Note: Price as of June 16th market close. Past performance is not an indicator of future results.
Source: Bloomberg Finance L.P., J.P. Morgan

Equity Ratings and Price Targets

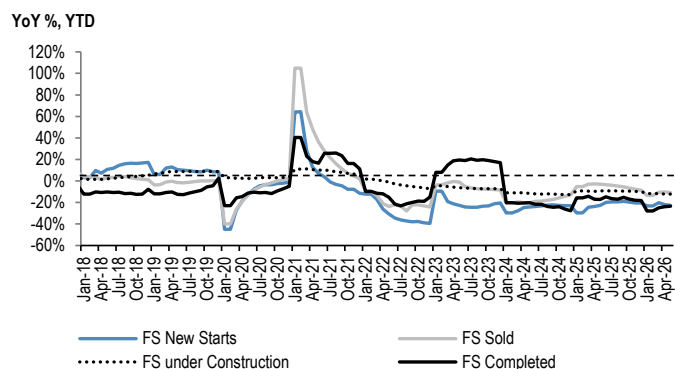
Company	Ticker	Mkt Cap (\$ mn)	Price CCY	Rating		Price Target			
				Price	Cur	Prev	Cur	End Date	Prev End Date
Shenhua - A	601088 CH	125,036	CNY	42.52	N	n/c	45.00	Dec-26	43.00 n/c
Shenhua - H	1088 HK	109,569	HKD	43.20	N	n/c	44.50	Dec-26	44.00 n/c
Yankuang - A	600188 CH	30,937	CNY	20.82	N	n/c	20.00	Dec-26	18.00 n/c
Yankuang - H	1171 HK	16,507	HKD	12.88	N	n/c	14.00	Dec-26	n/c n/c

Source: Company data, Bloomberg Finance L.P., J.P. Morgan estimates. n/c = no change. All prices as of 16 Jun 26.

See page 27 for analyst certification and important disclosures, including non-US analyst disclosures.

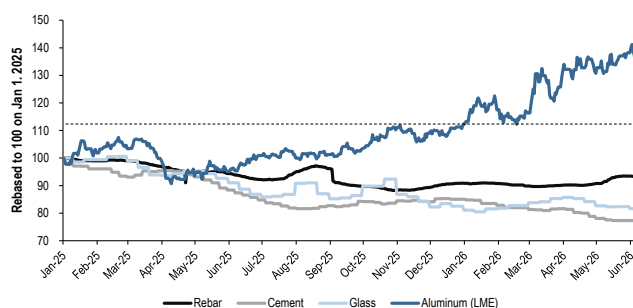
- May NBS figures showed a continued deterioration versus April.** New starts fell 25% YoY (vs. -27% in Apr26 YoY and -19% in Apr25 YoY). Completions moderated for 3 consecutive months, declining 20% YoY in May (vs. -27% in Jan-Feb26). Real estate investment declined further by -25% YoY (vs. -20% in Apr26). **JPM property analyst Karl Chan** expects new starts to remain weak over the next few months due to soft land sales volumes in 2H25 and 1Q26, forecasting full-year new starts to decline by 18% YoY, implying a 15% YoY decline for the rest of the year. For completions, Karl expects FY26 to decline by 19% YoY, implying a 16% Y/Y decline for the rest of the year ([link](#) to report).

Figure 2: YTD China property GFA growth



Source: NBS, J.P. Morgan

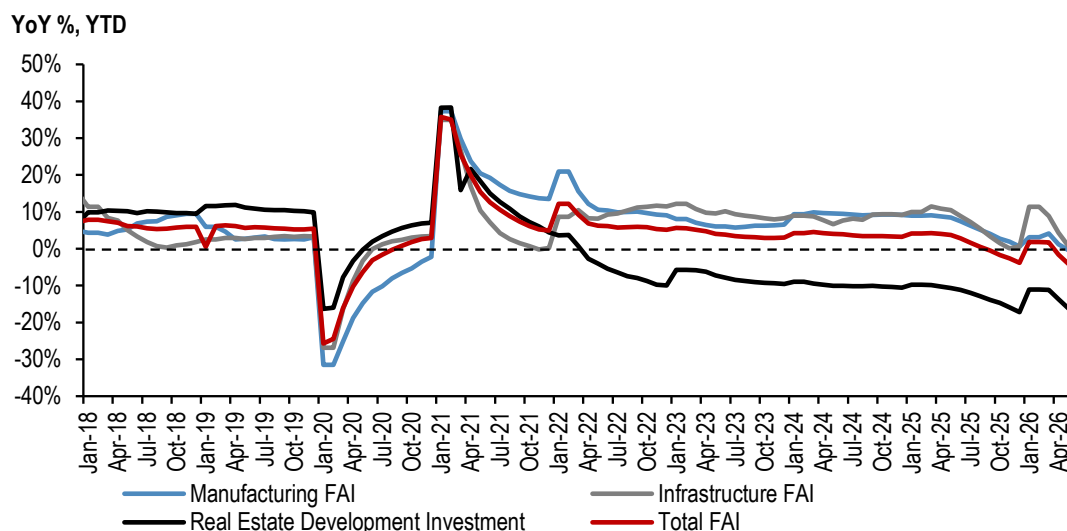
Figure 3: Completion end vs new starts end commodity performance



Source: Bloomberg Finance L.P., J.P. Morgan

- FAI growth further dipped in May.** Total FAI contracted sharply by 17% YoY in May (vs. -12% YoY in Apr26). Manufacturing FAI fell 4% YoY, though it recovered 23% MoM, bringing YTD manufacturing FAI down 0.4% amid energy-shock disruptions (vs. +4.1% YoY in 1Q26). Infrastructure FAI declined 9% YoY but rose 4% MoM in May, with YTD infrastructure FAI growth slowing to just 0.8% (vs. +9% in 1Q26).

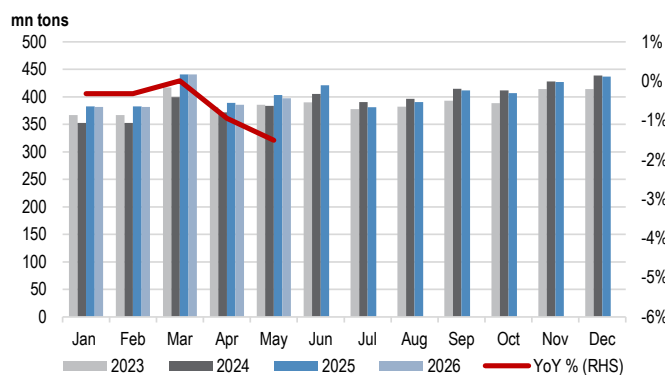
Figure 4: YTD China FAI growth



Source: NBS, J.P. Morgan

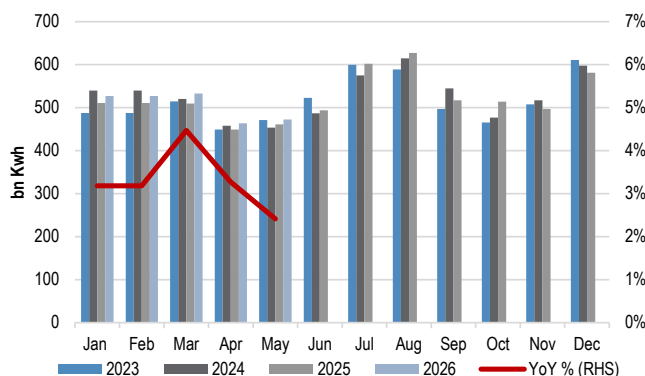
- May raw coal output and imports down 2% YoY and 8% YoY; lifting 2026 thermal coal price forecast to RMB805/t.** China's May coal data showed modest domestic supply pressure and weaker imports: raw coal output declined 2% YoY to 397mt in May, leaving YTD production broadly flat YoY at 1,987mt, while raw coal imports fell 8% YoY to 33.3mt. Domestic prices have remained firm, with QHD 5,500kcal around RMB860/t in mid-June, roughly RMB100/t higher than in May, supported by earlier-than-expected summer demand, ongoing restocking, and supply disruptions following the Shanxi mine accident. Shanxi mine suspensions appear largely voluntary and short-term ([link](#) to report), and nearly 70% of suspended capacity — 97 mines totaling 116mt — had resumed by June 15 according to Mysteel; however, many mines are still operating conservatively, suggesting actual output recovery may lag reported resumptions. Given the supply disruptions, we update our domestic supply-demand model and now expect a 32mt deficit in 2026E. With the Shanxi accident prompting tighter inspections, geopolitical tensions supporting energy prices, earlier summer demand lifting consumption, and Indonesia's tighter coal export controls constraining global supply, we expect spot prices to remain well supported through year-end. Accordingly, we raise our 2026–2028E domestic thermal coal price assumptions by 4–15% and forecast FY26E thermal coal prices to reach Rmb805/t. We therefore revise up our 2026–2028E earnings forecasts for Shenhua and Yankuang by 2–7% and 20–31%, respectively.

Figure 5: China raw coal production



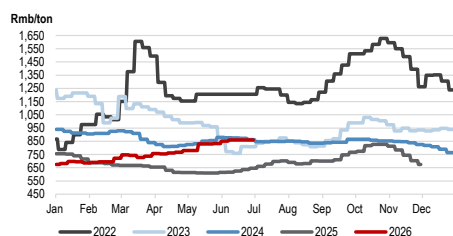
Source: NBS, Bloomberg Finance L.P., J.P. Morgan

Figure 6: China thermal power generation



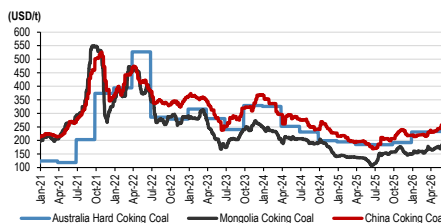
Source: China Customs, Bloomberg Finance L.P., J.P. Morgan

Figure 7: QHD 5,500Kcal Thermal Coal Spot Price



Source: Bloomberg Finance L.P., J.P. Morgan

Figure 8: China vs Seaborne 6,000Kcal Coking Coal Price



Source: Bloomberg Finance L.P., SXCoal, J.P. Morgan

Table 1: China thermal coal S/D model

Tons mn	2022	2023	2024	2025	2026E
Demand					
Electricity	2,378	2,587	2,664	2,638	2,670
Building Materials	296	291	270	251	240
Chemicals	229	250	289	339	390
Steel	171	176	172	170	167
Heating	317	337	358	359	360
Others	383	412	445	442	435
Total demand	3,775	4,053	4,198	4,199	4,262
YoY %					
Electricity		9%	3%	-1%	1%
Building Materials		-2%	-7%	-7%	-4%
Chemicals		9%	15%	18%	15%
Steel		3%	-2%	-2%	-1%
Heating		6%	6%	0%	0%
Others		7%	8%	-1%	-2%
Total demand		7%	4%	0%	2%
Production	3,764	3,823	3,893	3,912	3,885
YoY %		2%	2%	0%	-1%
Net imports	226	368	415	366	346
YoY %		63%	13%	-12%	-6%
Surplus/(deficit)	215	137	110	79	-32

Source: SXCoal, J.P. Morgan estimates.

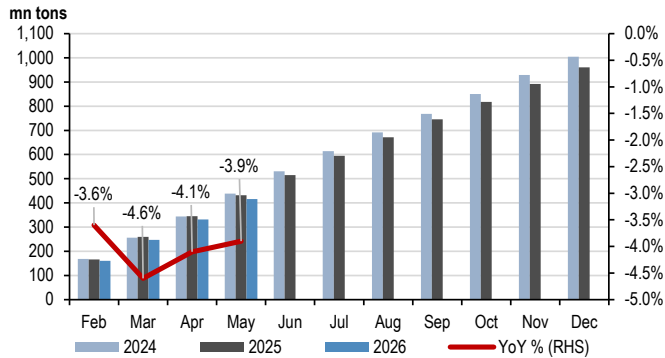
Table 2: J.P. Morgan coal price forecasts

		2023	2024	2025	2026E	2027E	2028E	LT Price
China QHD 5,500Kcal Thermal Coal	Rmb/t	965	854	698	805	750	700	600
YoY %		-24%	-12%	-18%	15%	-7%	-7%	
Change %		0%	0%	0%	15%	11%	4%	0%
Newcastle Thermal Coal	US\$/t	174	136	106	141	146	141	110
YoY %		-51%	-22%	-22%	33%	3%	-4%	
Hard Coking Coal	US\$/t	296	241	188	238	253	257	225
YoY %		-18%	-19%	-22%	27%	6%	2%	
Semi-soft Coking Coal	US\$/t	195	144	116	148	155	161	158
YoY %		-32%	-26%	-20%	28%	4%	4%	

Source: Bloomberg Finance L.P., J.P. Morgan estimates.

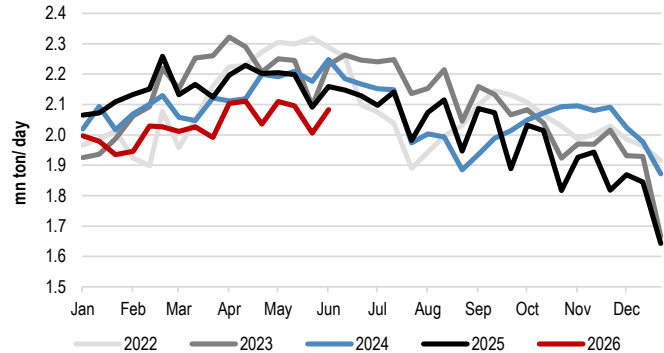
- May crude steel output fell 3% YoY, while finished steel exports declined 2% YoY.**
 China's crude steel production totaled 84mt in May, down 3% YoY and flat MoM, bringing 5M26 cumulative output to 416mt, down 4% YoY. Entering June, steel production has shown little meaningful sequential change, with CISA key members' daily crude steel output at 2.08mt (-3.5% YoY and -1% MoM) and month-to-date average daily molten iron production flat at 2.4mt/day. Finished steel exports reached 10.3mt in May, down 2% YoY but up 9% MoM, compared with an average YoY decline of 10% in 4M26; however, we expect exports to come under renewed pressure in the coming quarter as overseas purchasing slows and Southeast Asian markets cut prices to compete for orders. Margins also weakened in early June versus May across HRC, rebar and CRC, mainly due to higher domestic coking coal prices despite softer iron ore prices, with the share of profitable mills falling from 64% in mid-May to 56% in the second week of June. In the near term, we believe steelmakers' profitability is unlikely to improve materially unless there is meaningful policy follow-through, a sustained improvement in domestic demand, and a gradual easing in input costs as Middle East conflict-related pressures abate and the impact of domestic safety inspections fades.

Figure 9: China YTD Crude Steel Production



Source: NBS, J.P. Morgan

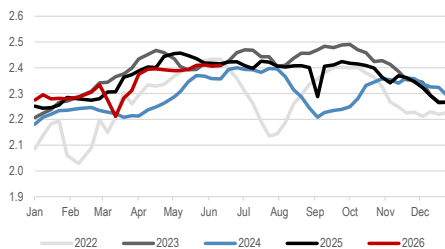
Figure 10: CISA Key Members Daily Average Crude Steel Output



Source: CISA, J.P. Morgan

Figure 11: Daily Average Molten Iron Output

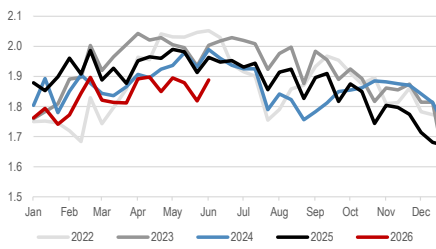
mn tons/day



Source: Wind, J.P. Morgan.

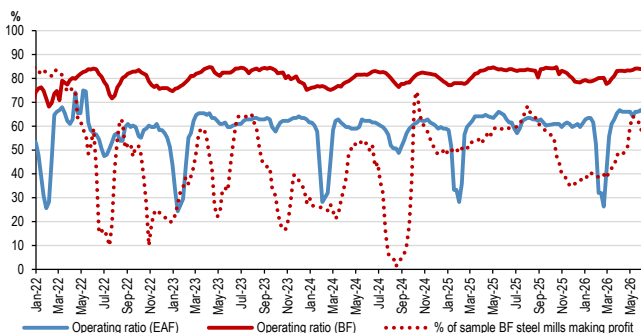
Figure 12: CISA Key Member Daily Average Pig Iron Output

mn tons/day



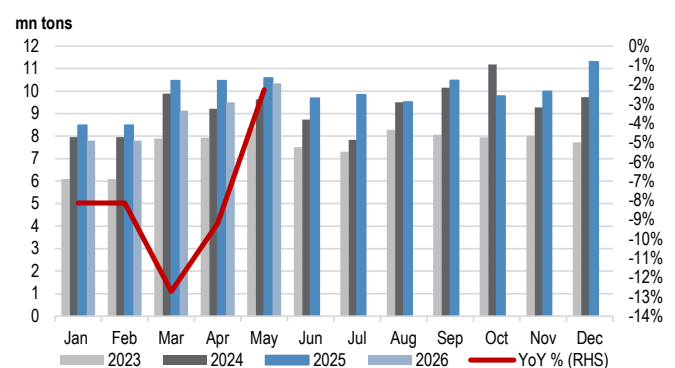
Source: CISA, J.P. Morgan

Figure 13: China steel mills operating ratio and profitability



Source: China Customs, Bloomberg Finance L.P., J.P. Morgan

Figure 14: China Steel Products Export Volume

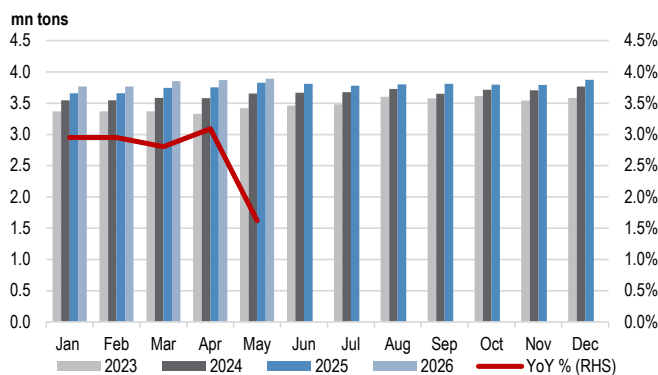


Source: China Customs, Bloomberg Finance L.P., J.P. Morgan

- **May 2026 aluminum production rose 1.7% YoY; the LME-SHJC spread narrowed.** China's aluminum fundamentals remain constructive, with May production of 3.9mt up 1.7% YoY and May exports rising 15% YoY to 632kt. More importantly, social inventory

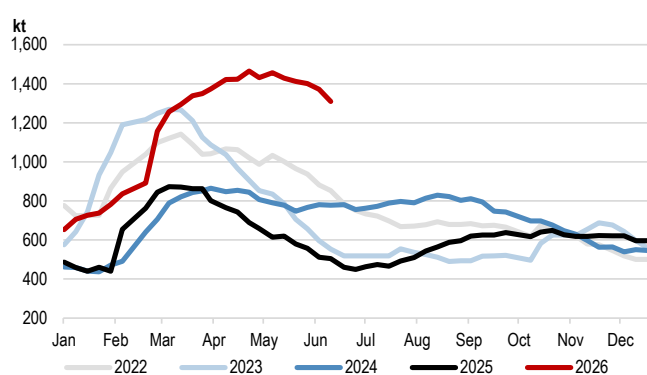
declined from a late-April peak of 1.47mt to 1.31mt in early June, suggesting downstream demand is beginning to improve despite elevated prices. The sharp pullback in LME aluminum to US\$3,358/t this week appears less indicative of weakening demand and more a function of supply-risk repricing, following the confirmed reopening of Hormuz and the market's growing focus on new Indonesian capacity. Meanwhile, SHFE aluminum has remained relatively resilient at Rmb23,800/t as of June 16, narrowing the LME-SHFE premium to ~Rmb1,340/t from a recent peak of ~Rmb4,500/t. Our global commodities team forecasts a ~1.7mmt primary deficit in 2026 and an implied ~2.3mmt inventory draw across 2Q26–4Q26. The deficit has so far been absorbed by “invisible” inventory drawdowns, but industry feedback suggests only around two months of hidden inventory remain before the deficit becomes more visible through inventory draws, particularly in China. ([link](#) to report).

Figure 15: China monthly aluminum production



Source: NBS, J.P. Morgan

Figure 16: China aluminum social inventory



Source: SMM, J.P. Morgan

- Lithium: Support near RMB160k/t; range-bound with news-driven volatility.** May 2026 China auto production fell 3.2% YoY, while NEV production rose 17.8% YoY (vs. -3.8% YoY in 4M26); supported by oil-price tailwinds, China's NEV PV retail penetration reached 63% in May ([link](#) to report). As of Jun 11, lithium carbonate weekly inventories declined to 98kt (SMM old sample) and 133kt (SMM new sample). In recent weeks, price action has been predominantly supply-news driven: lithium carbonate spot and futures retraced from RMB 190k+/t in mid-May to ~RMB 160k/t in mid-June as global mine restarts more than offset downgrades elsewhere ([link](#) to report) and concerns on domestic “invisible” inventories remain, then stabilized around ~RMB 165k/t on the back of headlines around potential inventory cuts, the Greenbushes fire, and the revocation of Jianxiawo's preliminary land-use permit. Looking ahead, we expect prices to hover around current levels with elevated, news-driven volatility as the market re-focuses on supply-demand dynamics: June–July Zimbabwe concentrate arrivals and CATL restart momentum are key swing factors on supply, while elevated auto inventories and seasonal EV softness may cap near-term upside.

Table 3: China NBS data summary

	Unit	May-26	MoM %	5M26	YoY %
Major products output:					
Cement	mn tons	150	2.9%	590.9	-8.6%
Finished steel	mn tons	123	0.3%	593.0	-1.5%
Crude steel	mn tons	84	0.9%	415.5	-3.9%
Aluminum	mn tons	4	0.5%	19.2	3.5%
Automobile	mn units	3	0.7%	12.3	-4.7%
-- of which: NEV	mn units	1	14.9%	5.8	0.9%
Raw Coal	mn tons	397	3.0%	1,980.4	-0.3%
Electricity	bn KWh	784	5.4%	3,912.9	3.6%
-- Thermal Power	bn KWh	473	1.9%	2,528.3	3.4%
-- Hydro-electric Power	bn KWh	112	27.1%	442.6	10.9%
Industrial Added Value YoY:					
National Total	%	n.a.	0.4ppt	n.a.	5.4%
Mining	%	n.a.	-1.5ppt	n.a.	4.8%
Ferrous Metals	%	n.a.	0.6ppt	n.a.	1.8%
Non-ferrous Metals	%	n.a.	-3.5ppt	n.a.	0.2%
Property					
Investment	Rmb bn	639	2.2%	3,036	-16.2%
FS Started	mn sqm	40	14.2%	179	-22.6%
FS Under Construction	mn sqm	5,488	0.7%	5,488	-12.3%
FS Completed	mn sqm	22	5.0%	141	-23.4%
FS Sold	mn sqm	61	5.7%	313	-10.8%
FAI:					
Total FAI Investment	Rmb bn	3,722	-3.5%	17,851	-4.1%
-- Secondary industry FAI	Rmb bn	1,392	-2.6%	6,499	0.1%
-- Tertiary industry FAI	Rmb bn	2,256	-3.9%	10,964	-6.8%
Railway transportation FAI	Rmb bn	78	66.9%	315	0.0%
Road transportation FAI	Rmb bn	350	24.8%	1,535	-5.7%

Source: NBS, WIND, J.P. Morgan.

Table 4: China customs data summary

	Unit	May-26	MoM %	5M26	YoY %
Import					
Raw Coal	mn tons	33.3	0.6%	182.6	-3.2%
Iron Ore	mn tons	97.7	-5.9%	516.3	6.3%
Steel products	mn tons	0.5	-4.1%	2.3	-12.2%
Copper	k tons	445.7	-1.0%	2,012.8	-7.0%
Export					
Steel products	mn tons	10.3	8.9%	44.6	-8.1%
Aluminum	k tons	632.4	5.4%	2,685.4	10.4%

Source: China Customs, J.P. Morgan

Valuation

Table 5: Global Diversified Mining Valuations Comparison

	Ticker	JPM Rating	Price Target	Upside/ downside	Share price	Perf. YTD (%)	Perf. MTD (%)	Mkt Cap (USDm)	PE (x)			P/BV (x)			EV/EBITDA (x)			
									2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	
China																		
	Zijin Mining - H	2899 HK	OW	55.00	65%	33.34	-7%	2%	116,122	9.4	8.3	7.2	3.0	2.4	1.9	6.6	5.9	5.3
	Zijin Mining - A	601899 CH	OW	50.00	65%	30.29	-12%	0%	122,307	9.9	9.0	8.5	3.1	2.5	2.0	6.5	6.1	5.8
	CMOC - H	3993 HK	OW	28.00	46%	19.12	-1%	5%	52,223	10.5	9.9	8.9	3.2	2.6	2.1	6.5	6.1	5.6
	CMOC - A	603993 CH	OW	28.00	40%	20.03	0%	8%	63,425	13.0	12.1	10.8	4.1	3.3	2.8	6.6	6.1	5.7
	Jiangxi Copper - H	358 HK	OW	51.00	38%	36.84	-14%	5%	16,237	9.0	8.5	8.8	1.1	1.0	1.0	9.6	9.4	10.6
	Jiangxi Copper - A	600362 CH	OW	64.00	38%	46.50	-15%	7%	23,760	13.1	13.0	16.0	n.a.	n.a.	n.a.	9.4	9.2	11.3
	MMG	1208 HK	OW	13.00	52%	8.58	-2%	-3%	13,298	8.4	7.9	7.5	2.4	1.8	1.5	3.7	3.7	3.7
Market cap weighted average									10.4	9.6	9.0	3.0	2.4	1.9	6.8	6.3	6.1	
Australia																		
	BHP	BHP AU	OW	67.00	3%	65.19	43%	5%	234,471	17.5	17.0	18.1	4.2	3.9	3.6	7.9	8.0	8.3
	South32	S32 AU	OW	4.80	12%	4.27	20%	-11%	13,584	15.2	10.4	11.0	1.4	1.3	1.2	6.9	5.5	5.9
	Capstone	CSC AU	OW	16.20	5%	15.38	1%	2%	na	18.4	12.1	11.8	2.1	1.8	1.5	6.9	5.2	5.0
	Sandfire Resources	SFR AU	OW	19.70	-6%	20.88	17%	6%	6,853	20.7	12.9	13.0	3.3	2.8	2.5	8.6	6.6	6.7
Market cap weighted average									16.7	16.1	16.7	3.7	3.3	3.1	7.4	7.3	7.4	
North America																		
	Freeport	FCX US	OW	73.00	4%	70.13	38%	7%	101,268	25.9	18.4	16.9	4.6	3.7	2.9	10.1	7.2	6.6
	Teck Resources	TECK US	N	48.00	-27%	66.16	38%	0%	32,479	19.0	22.1	28.5	1.6	1.5	1.5	6.7	6.9	8.2
	Ivanhoe Electric	IE US	OW	21.00	84%	11.39	-29%	-15%	1,805	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	32.2
	First Quantum	FM CN	N	33.00	-28%	45.68	24%	8%	27,125	126.8	16.2	11.1	2.4	2.1	1.8	14.2	7.2	5.5
	Lundin Mining	LUN CN	UW	27.80	-30%	39.85	35%	-3%	24,479	21.9	20.6	23.7	3.1	2.8	2.6	10.0	9.3	10.6
Market cap weighted average									38.5	18.8	18.8	3.5	2.9	2.4	10.0	7.4	7.5	
EMEA																		
	Anglo American	AAL LN	UW	3160.00	-23%	4,088.00	33%	3%	58,677	30.4	22.1	20.8	2.4	2.8	2.6	9.2	7.6	7.4
	Antofagasta	ANTO LN	N	3400.00	-21%	4,280.00	31%	4%	56,602	32.8	31.0	26.4	5.1	4.7	4.3	9.8	9.2	8.1
	Boliden	BOL SS	N	555.00	-4%	576.40	12%	0%	17,435	14.3	11.4	10.3	1.9	1.7	1.6	6.7	5.9	5.6
	KHGM	KGH PW	N	355.00	-7%	382.70	36%	9%	20,930	8.4	8.8	11.0	1.8	1.6	1.4	4.9	5.1	5.4
Market cap weighted average									17.9	16.3	15.6	2.7	2.6	2.4	7.3	6.9	6.7	
LatAm																		
	Southern Copper Corp	SCCO US	UW	125.74	-35%	193.22	37%	1%	160,357	26.7	28.5	30.3	11.8	11.0	10.6	15.3	16.0	16.2
	Grupo Mexico	GMEXICOB MM	N	189.00	-12%	214.43	26%	0%	97,069	15.0	15.6	16.4	4.1	3.7	3.5	7.9	7.9	8.0
	Vale	VALE3 BZ	OW	109.00	34%	81.16	13%	-2%	68,476	8.4	8.4	8.2	1.7	1.6	1.4	4.9	5.0	4.9
Market cap weighted average									19.4	20.4	21.5	7.4	6.9	6.6	10.9	11.3	11.4	
Global market cap weighted average									18.3	15.7	15.8	3.9	3.5	3.2	8.1	7.7	7.7	

Source: Bloomberg Finance L.P., J.P. Morgan. Note: Price data represents last price; NR = Not Rated; NC = Not Covered; Bloomberg consensus estimates for all stocks.

Table 6: Global Steel Valuation Comparison

Ticker	JPM Rating	Price Target	Upside/ downside	Share price	Perf. YTD (%)	Perf. MTD (%)	Mkt Cap (USDm)	3M Avg TO (USDm)	PE (x)			P/BV (x)			RoE %			
									2026E	2027E	2028E	2026E	2027E	2028E	2026E	2027E	2028E	
China																		
Baosteel	600019 CH	N	7.30	25%	5.85	-21%	-3%	18,860	99	10.9	9.5	8.9	0.6	0.6	0.6	5.6	6.2	6.5
Angang - H	347 HK	UW	1.30	4%	1.25	-34%	-1%	1,495	2	n.a.	n.a.	28.4	0.3	0.3	0.3	-10.9	-2.8	0.1
Angang - A	000898 CH	UW	1.80	-10%	2.00	-21%	-2%	2,773	15	n.a.	n.a.	100.0	0.5	0.5	0.5	-10.9	-2.8	0.1
BaoTou Steel	600010 CH	NC	-	-	2.47	4%	5%	16,556	340	46.6	36.9	35.3	2.0	1.9	1.8	4.4	5.5	5.2
Hunan Valin Steel	000932 CH	NC	-	-	3.76	-33%	-6%	3,833	57	6.9	6.2	6.1	0.4	0.4	0.4	6.8	7.3	7.0
Maanshan Iron & Steel	600808 CH	NC	-	-	2.78	-34%	-6%	3,168	34	38.6	14.5	10.5	0.9	0.8	0.7	2.8	7.2	9.1
Market cap weighted average										8.5	7.4	20.7	0.6	0.5	0.5	2.1	4.3	5.1
Asia ex-China																		
JSW Steel	JSTL IN	OW	1415.00	11%	1,274.30	9%	0%	32,969	27	21.8	18.2	16.0	2.8	2.4	2.1	13.1	14.0	13.5
Tata Steel	TATA IN	N	220.00	12%	196.00	9%	-6%	25,866	73	13.1	11.6	11.1	2.1	1.9	1.7	17.0	17.0	15.9
Nippon Steel	5401 JP	NC	-	-	566.00	-12%	0%	18,449	103	9.4	7.8	8.6	0.5	0.5	0.5	6.6	7.0	6.7
Posco Holdings	005490 KS	N	450000.00	15%	391,000.00	28%	-8%	19,609	267	16.0	12.8	10.7	0.5	0.5	0.5	3.5	4.2	4.7
JFE Holdings	5411 JP	NC	-	-	1,647.00	-18%	-3%	6,876	51	8.0	7.5	7.0	0.4	0.4	0.4	5.0	5.5	5.4
NMDC	NMDC IN	UW	75.00	-15%	88.09	6%	0%	8,193	27	9.2	8.8	8.6	2.0	1.7	1.5	22.8	20.8	18.8
Steel Authority of India	SAIL IN	N	170.00	-6%	180.99	23%	-11%	7,909	55	12.6	11.9	13.4	1.1	1.1	1.0	10.5	9.8	8.7
Kobe Steel	5406 JP	NC	-	-	1,989.50	-4%	0%	4,898	27	8.6	8.3	8.4	0.6	0.6	0.6	7.1	7.1	6.7
Hyundai Steel	004020 KS	NC	-	-	36,000.00	16%	-10%	3,141	57	25.2	11.9	10.6	0.2	0.2	0.2	1.0	2.1	2.2
Market cap weighted average										14.8	12.4	11.6	1.5	1.4	1.2	10.9	11.2	10.7
Australia																		
BlueScope Steel	BSL AU	OW	36.50	9%	33.61	44%	6%	10,485	28	17.4	15.5	14.2	1.4	1.3	1.3	7.9	8.9	9.3
Sims Metal Management	SGM AU	OW	30.00	2%	29.44	64%	10%	4,010	19	25.8	17.3	17.0	2.1	2.0	1.8	8.5	11.3	10.7
Market cap weighted average										19.8	16.0	15.0	1.6	1.5	1.4	8.0	9.6	9.7
North America																		
Nucor	NUE US	OW	282.00	9%	259.32	59%	4%	59,462	317	17.2	15.6	15.3	2.5	2.3	2.0	15.3	15.4	12.9
Steel Dynamics	STLD US	N	262.00	-4%	272.19	61%	5%	39,555	252	16.8	14.9	14.8	3.8	3.2	2.6	23.1	21.6	18.3
US Steel Corp	X US	NC	-	-	#N/A N/A	na	N/A	na	na	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.	n.a.
Cleveland Cliffs	CLF US	N	13.00	-5%	13.63	3%	0%	7,774	190	n.a.	35.5	32.5	1.3	1.3	1.3	-4.9	2.3	3.6
Market cap weighted average										15.8	16.8	16.4	2.9	2.5	2.2	16.7	16.7	14.2
Europe																		
ArcelorMittal	MT NA	UW	45.00	-25%	59.72	53%	1%	52,926	139	14.6	10.3	9.8	0.9	0.8	0.8	6.5	8.6	11.8
SSAB - A	SSABA SS	N	81.00	-19%	99.84	42%	5%	10,596	9	13.5	11.5	12.1	1.4	1.3	1.2	10.6	11.5	10.4
SSAB - B	SSABB SS	N	78.00	-22%	99.60	43%	5%	10,570	29	13.5	11.4	12.1	1.4	1.3	1.2	10.6	11.5	10.4
Voestalpine AG	VOE AV	UW	40.00	-15%	47.08	25%	-3%	9,361	13	12.6	10.2	9.6	1.0	0.9	0.9	8.3	9.5	9.4
Aperam	APAM NA	N	42.70	-15%	50.05	42%	-2%	4,243	9	22.7	11.3	9.2	1.1	1.1	1.0	5.0	9.5	11.0
Outokumpu	OUT1V FH	N	5.90	-1%	5.96	33%	0%	3,258	9	23.3	11.6	10.3	0.8	0.8	0.7	3.4	6.7	7.2
Market cap weighted average										14.8	10.6	10.3	1.0	1.0	0.9	7.5	9.3	11.0
Global market cap weighted average										14.0	14.8	15.0	1.9	1.7	1.5	12.1	13.3	13.3

Source: Bloomberg Finance L.P., J.P. Morgan. Note: Price data represents last price; NR = Not Rated; NC = Not Covered; Bloomberg consensus estimates for all stocks

Neutral

601088.SS, 601088 CH

Price (16 Jun 26):Rmb42.52

▲ **Price Target (Dec-26):Rmb45.00**

Prior (Dec-26):Rmb43.00

Asia Basic Materials

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 27E (Rmb)	3.01	3.21	6.7%

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	59	53	54	29	23
Growth	88	87	92	95	92
Momentum	34	46	66	54	55
Quality	42	42	46	48	54
Low Vol	19	10	10	35	10
ESGQ	12	18	16	3	7

Shenhua - A

Maintain Neutral

We adjust our model to reflect updated 2026/2027/2028E domestic thermal coal prices by +15%/+11%/+4%, alongside an incremental upward revision in unit costs to align with company guidance. We also update the April consolidation of asset injections while revising down gains from associates taking into account the 1Q26 results. We therefore raise our 2026-2028E earnings by 2-7% and our PT from Rmb43 to Rmb45. Maintain N on Shenhua.

Price Performance



	YTD	1m	3m	12m
Abs	5.0%	-7.0%	-12.3%	8.9%
Rel	1.9%	-5.9%	-12.5%	-11.9%

Company Data

Shares O/S (mn)	19,869
52-week range (Rmb)	51.18-36.80
Market cap (\$ mn)	125,036
Exchange rate	6.76
Free float (%)	8.8%
3M ADV (mn)	38.41
3M ADV (\$ mn)	266.4
Volatility (90 Day)	35
Index	SHASHR
BBG ANR (Buy Hold Sell)	21 6 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	294,916	366,397	380,939	386,592
EBITDA	104,626	127,535	129,547	127,945
Adj. EBITDA	104,626	127,535	129,547	127,945
Adj. EBIT	79,784	102,211	103,017	100,136
Adj. net income	52,849	67,958	69,571	67,857
Net income	52,849	67,958	69,571	67,857
Adj. EPS	2.66	3.13	3.21	3.13
BBG EPS	2.62	2.91	3.00	3.07
Net debt	(57,760)	(143,415)	(159,717)	(173,700)
Cashflow from operations	75,059	107,586	112,243	111,200
Investing cashflow	(21,794)	(38,023)	(40,000)	(40,000)
FCFF	25,808	69,563	72,243	71,200
Margins and Growth				
Revenue Growth Y/Y (%)	(13.2%)	24.2%	4.0%	1.5%
EBITDA Growth Y/Y (%)	(3.4%)	21.9%	1.6%	(1.2%)
Adj. EPS growth	(5.3%)	17.8%	2.4%	(2.5%)
Ratios				
Adj. tax rate	20.9%	20.9%	20.9%	20.9%
Net debt/EBITDA	NM	NM	NM	NM
ROCE	13.7%	16.5%	15.0%	14.2%
ROE	12.8%	15.0%	13.8%	13.1%
Valuation				
FCFF yield	3.1%	7.5%	7.8%	7.7%
Dividend yield	4.9%	5.8%	6.0%	5.8%
EV/Revenue	5.6	4.3	4.2	4.1
EV/EBITDA	15.9	12.5	12.2	12.4
Adj. P/E	16.0	13.6	13.3	13.6
P/BV	2.1	1.9	1.8	1.8

Summary Investment Thesis and Valuation

Investment Thesis

Shenhua Energy remains the world's largest listed coal miner, offering strong earnings visibility with 80% of sales under long-term contracts and a high dividend yield. Recent acquisitions significantly boost coal reserves, production capacity, and integration across the value chain, supporting future growth and operational resilience. We maintain a Neutral rating on Shenhua-A, pending further evidence of sustained earnings momentum from these new assets.

Valuation

Our Dec-26 PT for Shenhua-A is Rmb45, based on our NPV valuation, rounded off to the nearest yuan, using a discount rate of 9.7%.

Performance Drivers

Market	0%
Region	0%
Macro	12%
Style	15%
Idiosyn.	73%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.05	0.03
Region: China	-0.19	0.02
Macro:		
JPM EM Currency(EMCI) Fixing	-0.15	0.21
US 10 Year Yield	-0.19	-0.19
JP Morgan GBI-EM Global Div	-0.05	0.18
Quant Styles:		
DivYld	0.36	0.30
LowVol	0.30	0.26
Value	0.24	0.21

Investment Thesis, Valuation and Risks

Shenhua - A *(Neutral; Price Target: Rmb45.00)*

Investment Thesis

Shenhua Energy remains the world's largest listed coal miner, offering strong earnings visibility with 80% of sales under long-term contracts and a high dividend yield. Recent acquisitions significantly boost coal reserves, production capacity, and integration across the value chain, supporting future growth and operational resilience. We maintain a Neutral rating on Shenhua-A, pending further evidence of sustained earnings momentum from these new assets.

Valuation

Our Dec-26 PT for Shenhua-A is Rmb45, based on our NPV valuation, rounded off to the nearest yuan, using a discount rate of 9.7%.

Risks to Rating and Price Target

Downside risks to our rating and price target include stronger-than-expected government intervention in coal prices, and higher-than-expected output from hydro/renewable/nuclear power.

Upside risks include stronger-than-expected coal price and slower-than-expected coal supply ramp up.

Shenhua - A: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	339,788	294,916	366,397	380,939	386,592	Cash flow from operating activities	91,086	75,059	107,586	112,243	111,200
COGS	(242,140)	(208,443)	(247,599)	(262,617)	(270,868)	o/w Depreciation & amortization	24,964	24,842	25,324	26,530	27,809
Gross profit	97,648	86,473	118,798	118,322	115,724	o/w Changes in working capital	(104)	(394)	(376)	1,157	872
SG&A	(11,498)	(11,907)	(14,793)	(15,380)	(15,608)	Cash flow from investing activities	(86,095)	(21,794)	(38,023)	(40,000)	(40,000)
Adj. EBITDA	108,274	104,626	127,535	129,547	127,945	o/w Capital expenditure	(37,708)	(49,251)	(38,023)	(40,000)	(40,000)
D&A	(24,964)	(24,842)	(25,324)	(26,530)	(27,809)	as % of sales	11.1%	16.7%	10.4%	10.5%	10.3%
Adj. EBIT	83,310	79,784	102,211	103,017	100,136	Cash flow from financing activities	(48,590)	(96,242)	16,092	(55,941)	(57,218)
Net Interest	(338)	(385)	(351)	1,265	1,573	o/w Dividends paid	(53,980)	(87,204)	(43,988)	(55,941)	(57,218)
Adj. PBT	82,928	79,339	102,021	104,443	101,870	o/w Shares issued/(repurchased)	1,015	2,630	60,080	0	0
Tax	(16,929)	(16,556)	(21,289)	(21,795)	(21,258)	o/w Net debt issued/(repaid)	2,225	(13,216)	0	0	0
Minority Interest	(10,194)	(9,934)	(12,774)	(13,077)	(12,755)	Net change in cash	(43,515)	(43,125)	85,655	16,302	13,982
Adj. Net Income	55,805	52,849	67,958	69,571	67,857	Adj. Free cash flow to firm	53,378	25,808	69,563	72,243	71,200
Reported EPS	2.81	2.66	3.13	3.21	3.13	y/y Growth	1.5%	(51.7%)	169.5%	3.9%	(1.4%)
Adj. EPS	2.81	2.66	3.13	3.21	3.13						
DPS	2.26	2.10	2.48	2.54	2.48						
Payout ratio	80.5%	79.1%	79.1%	79.1%	79.1%						
Shares outstanding	19,867	19,868	21,690	21,690	21,690						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	143,845	96,772	182,427	198,729	212,712	Gross margin	28.7%	29.3%	32.4%	31.1%	29.9%
Accounts receivable	16,779	20,338	25,267	26,270	26,660	EBITDA margin	31.9%	35.5%	34.8%	34.0%	33.1%
Inventories	12,666	11,850	14,019	14,896	15,387	EBIT margin	24.5%	27.1%	27.9%	27.0%	25.9%
Other current assets	45,992	50,197	58,873	61,074	62,079	Net profit margin	16.4%	17.9%	18.5%	18.3%	17.6%
Current assets	207,139	146,969	241,300	259,804	274,791	ROE	13.5%	12.8%	15.0%	13.8%	13.1%
PP&E	261,820	272,172	285,141	298,881	311,342	ROA	8.6%	8.2%	10.0%	9.3%	8.7%
LT investments	59,842	62,044	62,044	62,044	62,044	ROCE	14.3%	13.7%	16.5%	15.0%	14.2%
Other non current assets	130,834	137,215	137,215	137,215	137,215	SG&A/Sales	3.4%	4.0%	4.0%	4.0%	4.0%
Total assets	668,022	627,761	735,061	767,305	794,753	Net debt/Equity	NM	NM	NM	NM	NM
						Net debt/EBITDA	NM	NM	NM	NM	NM
Short term borrowings	23,331	9,773	9,773	9,773	9,773	Sales/Assets (x)	0.5	0.5	0.5	0.5	0.5
Payables	38,961	41,513	49,110	52,185	53,904	Assets/Equity (x)	1.6	1.6	1.5	1.5	1.5
Other short term liabilities	42,824	37,976	38,678	38,963	39,122	Interest cover (x)	320.3	271.8	363.3	NM	NM
Current liabilities	105,116	89,262	97,562	100,921	102,798	Operating leverage	520.0%	32.0%	116.0%	19.9%	(188.5%)
Long-term debt	32,815	29,239	29,239	29,239	29,239	Tax rate	20.4%	20.9%	20.9%	20.9%	20.9%
Other long term liabilities	66,261	57,048	57,048	57,048	57,048	Revenue y/y Growth	(1.0%)	(13.2%)	24.2%	4.0%	1.5%
Total liabilities	171,377	146,310	154,610	157,969	159,846	EBITDA y/y Growth	(3.8%)	(3.4%)	21.9%	1.6%	(1.2%)
Shareholders' equity	419,559	409,107	495,333	511,140	523,957	EPS y/y Growth	(6.5%)	(5.3%)	17.8%	2.4%	(2.5%)
Minority interests	77,086	72,344	85,118	98,195	110,950	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
Total liabilities & equity	668,022	627,761	735,061	767,305	794,753	P/E (x)	15.1	16.0	13.6	13.3	13.6
BVPS	21.12	20.59	22.84	23.57	24.16	P/BV (x)	2.0	2.1	1.9	1.8	1.8
y/y Growth	2.7%	(2.5%)	10.9%	3.2%	2.5%	EV/EBITDA (x)	15.1	15.9	12.5	12.2	12.4
Net debt/(cash)	(87,699)	(57,760)	(143,415)	(159,717)	(173,700)	Dividend Yield	5.3%	4.9%	5.8%	6.0%	5.8%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Neutral

1088.HK, 1088 HK

Price (16 Jun 26):HK\$43.20

▲ **Price Target (Dec-26):HK\$44.50**

Prior (Dec-26):HK\$44.00

Asia Basic Materials

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J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 27E (Rmb)	3.01	3.21	6.7%

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	71	64	63	34	28
Growth	66	66	88	80	84
Momentum	37	60	75	15	59
Quality	32	23	49	27	21
Low Vol	28	32	29	58	20
ESGQ	12	18	16	3	7

Shenhua - H

Maintain Neutral

We adjust our model to reflect updated 2026/2027/2028E domestic thermal coal prices by +15%/+11%/+4%, alongside an incremental upward revision in unit costs to align with company guidance. We also update the April consolidation of asset injections while revising down gains from associates taking into account the 1Q26 results. We therefore raise our 2026-2028E earnings by 2-7% and our PT from HK\$44 to HK\$44.5. Maintain N on Shenhua.

Price Performance



	YTD	1m	3m	12m
Abs	11.3%	-2.8%	-9.9%	22.7%
Rel	15.7%	2.8%	-4.7%	20.9%

Company Data

Shares O/S (mn)	19,869
52-week range (HK\$)	49.62-30.15
Market cap (\$ mn)	109,569
Exchange rate	7.83
Free float (%)	100.0%
3M ADV (mn)	15.60
3M ADV (\$ mn)	92.0
Volatility (90 Day)	31
Index	HSI
BBG ANR (Buy Hold Sell)	9 8 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	294,916	366,397	380,939	386,592
EBITDA	104,626	127,535	129,547	127,945
Adj. EBITDA	104,626	127,535	129,547	127,945
Adj. EBIT	79,784	102,211	103,017	100,136
Adj. net income	52,849	67,958	69,571	67,857
Net income	52,849	67,958	69,571	67,857
Adj. EPS	2.66	3.13	3.21	3.13
BBG EPS	2.69	2.85	2.90	2.89
Net debt	(57,760)	(143,415)	(159,717)	(173,700)
Cashflow from operations	75,059	107,586	112,243	111,200
Investing cashflow	(21,794)	(38,023)	(40,000)	(40,000)
FCFF	25,808	69,563	72,243	71,200
Margins and Growth				
Revenue Growth Y/Y (%)	(13.2%)	24.2%	4.0%	1.5%
EBITDA Growth Y/Y (%)	(3.4%)	21.9%	1.6%	(1.2%)
Adj. EPS growth	(5.3%)	17.8%	2.4%	(2.5%)
Ratios				
Adj. tax rate	20.9%	20.9%	20.9%	20.9%
Net debt/EBITDA	NM	NM	NM	NM
ROCE	13.7%	16.5%	15.0%	14.2%
ROE	12.8%	15.0%	13.8%	13.1%
Valuation				
FCFF yield	3.5%	8.6%	8.9%	8.8%
Dividend yield	5.6%	6.7%	6.8%	6.6%
EV/Revenue	5.6	4.3	4.2	4.1
EV/EBITDA	15.9	12.5	12.2	12.4
Adj. P/E	14.0	11.9	11.6	11.9
P/BV	1.8	1.6	1.6	1.5

Summary Investment Thesis and Valuation

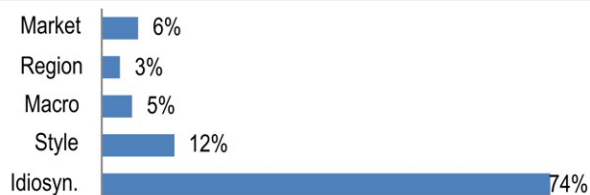
Investment Thesis

Shenhua Energy remains the world's largest listed coal miner, offering strong earnings visibility with 80% of sales under long-term contracts and a high dividend yield. Recent acquisitions significantly boost coal reserves, production capacity, and integration across the value chain, supporting future growth and operational resilience. We maintain a Neutral rating on Shenhua-H, pending further evidence of sustained earnings momentum from these new assets.

Valuation

Our Dec-26 PT for Shenhua-H is HK\$44.5, based on an average three-month rolling A-H premium of 17% applied to our A-share NPV valuation.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	0.39	0.23
Region: Hong Kong	0.25	0.17
Macro:		
Markit EM Composite PMI SA	0.19	0.21
Citi Economic Surprise - EM	-0.08	-0.12
JPM Forecast Revision EM	-0.14	0.09
Quant Styles:		
DivYld	0.37	0.34
Value	0.35	0.31
Growth	-0.30	-0.31

Investment Thesis, Valuation and Risks

Shenhua - H *(Neutral; Price Target: HK\$44.50)*

Investment Thesis

Shenhua Energy remains the world's largest listed coal miner, offering strong earnings visibility with 80% of sales under long-term contracts and a high dividend yield. Recent acquisitions significantly boost coal reserves, production capacity, and integration across the value chain, supporting future growth and operational resilience. We maintain a Neutral rating on Shenhua-H, pending further evidence of sustained earnings momentum from these new assets.

Valuation

Our Dec-26 PT for Shenhua-H is HK\$44.5, based on an average three-month rolling A-H premium of 17% applied to our A-share NPV valuation.

Risks to Rating and Price Target

Downside risks to our rating and price target include stronger-than-expected government intervention in coal prices, and higher-than-expected output from hydro/renewable/nuclear power.

Upside risks include stronger-than-expected coal price and slower-than-expected coal supply ramp up.

Shenhua - H: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	339,788	294,916	366,397	380,939	386,592	Cash flow from operating activities	91,086	75,059	107,586	112,243	111,200
COGS	(242,140)	(208,443)	(247,599)	(262,617)	(270,868)	o/w Depreciation & amortization	24,964	24,842	25,324	26,530	27,809
Gross profit	97,648	86,473	118,798	118,322	115,724	o/w Changes in working capital	(104)	(394)	(376)	1,157	872
SG&A	(11,498)	(11,907)	(14,793)	(15,380)	(15,608)	Cash flow from investing activities	(86,095)	(21,794)	(38,023)	(40,000)	(40,000)
Adj. EBITDA	108,274	104,626	127,535	129,547	127,945	o/w Capital expenditure	(37,708)	(49,251)	(38,023)	(40,000)	(40,000)
D&A	(24,964)	(24,842)	(25,324)	(26,530)	(27,809)	as % of sales	11.1%	16.7%	10.4%	10.5%	10.3%
Adj. EBIT	83,310	79,784	102,211	103,017	100,136	Cash flow from financing activities	(48,590)	(96,242)	16,092	(55,941)	(57,218)
Net Interest	(338)	(385)	(351)	1,265	1,573	o/w Dividends paid	(53,980)	(87,204)	(43,988)	(55,941)	(57,218)
Adj. PBT	82,928	79,339	102,021	104,443	101,870	o/w Shares issued/(repurchased)	1,015	2,630	60,080	0	0
Tax	(16,929)	(16,556)	(21,289)	(21,795)	(21,258)	o/w Net debt issued/(repaid)	2,225	(13,216)	0	0	0
Minority Interest	(10,194)	(9,934)	(12,774)	(13,077)	(12,755)	Net change in cash	(43,515)	(43,125)	85,655	16,302	13,982
Adj. Net Income	55,805	52,849	67,958	69,571	67,857	Adj. Free cash flow to firm	53,378	25,808	69,563	72,243	71,200
Reported EPS	2.81	2.66	3.13	3.21	3.13	y/y Growth	1.5%	(51.7%)	169.5%	3.9%	(1.4%)
Adj. EPS	2.81	2.66	3.13	3.21	3.13						
DPS	2.26	2.10	2.48	2.54	2.48						
Payout ratio	80.5%	79.1%	79.1%	79.1%	79.1%						
Shares outstanding	19,867	19,868	21,690	21,690	21,690						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	143,845	96,772	182,427	198,729	212,712	Gross margin	28.7%	29.3%	32.4%	31.1%	29.9%
Accounts receivable	16,779	20,338	25,267	26,270	26,660	EBITDA margin	31.9%	35.5%	34.8%	34.0%	33.1%
Inventories	12,666	11,850	14,019	14,896	15,387	EBIT margin	24.5%	27.1%	27.9%	27.0%	25.9%
Other current assets	45,992	50,197	58,873	61,074	62,079	Net profit margin	16.4%	17.9%	18.5%	18.3%	17.6%
Current assets	207,139	146,969	241,300	259,804	274,791	ROE	13.5%	12.8%	15.0%	13.8%	13.1%
PP&E	261,820	272,172	285,141	298,881	311,342	ROA	8.6%	8.2%	10.0%	9.3%	8.7%
LT investments	59,842	62,044	62,044	62,044	62,044	ROCE	14.3%	13.7%	16.5%	15.0%	14.2%
Other non current assets	130,834	137,215	137,215	137,215	137,215	SG&A/Sales	3.4%	4.0%	4.0%	4.0%	4.0%
Total assets	668,022	627,761	735,061	767,305	794,753	Net debt/Equity	NM	NM	NM	NM	NM
						Net debt/EBITDA	NM	NM	NM	NM	NM
Short term borrowings	23,331	9,773	9,773	9,773	9,773	Sales/Assets (x)	0.5	0.5	0.5	0.5	0.5
Payables	38,961	41,513	49,110	52,185	53,904	Assets/Equity (x)	1.6	1.6	1.5	1.5	1.5
Other short term liabilities	42,824	37,976	38,678	38,963	39,122	Interest cover (x)	320.3	271.8	363.3	NM	NM
Current liabilities	105,116	89,262	97,562	100,921	102,798	Operating leverage	520.0%	32.0%	116.0%	19.9%	(188.5%)
Long-term debt	32,815	29,239	29,239	29,239	29,239	Tax rate	20.4%	20.9%	20.9%	20.9%	20.9%
Other long term liabilities	66,261	57,048	57,048	57,048	57,048	Revenue y/y Growth	(1.0%)	(13.2%)	24.2%	4.0%	1.5%
Total liabilities	171,377	146,310	154,610	157,969	159,846	EBITDA y/y Growth	(3.8%)	(3.4%)	21.9%	1.6%	(1.2%)
Shareholders' equity	419,559	409,107	495,333	511,140	523,957	EPS y/y Growth	(6.5%)	(5.3%)	17.8%	2.4%	(2.5%)
Minority interests	77,086	72,344	85,118	98,195	110,950	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
Total liabilities & equity	668,022	627,761	735,061	767,305	794,753	P/E (x)	13.3	14.0	11.9	11.6	11.9
BVPS	21.12	20.59	22.84	23.57	24.16	P/BV (x)	1.8	1.8	1.6	1.6	1.5
y/y Growth	2.7%	(2.5%)	10.9%	3.2%	2.5%	EV/EBITDA (x)	15.1	15.9	12.5	12.2	12.4
Net debt/(cash)	(87,699)	(57,760)	(143,415)	(159,717)	(173,700)	Dividend Yield	6.1%	5.6%	6.7%	6.8%	6.6%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Neutral

600188.SS, 600188 CH

Price (16 Jun 26):Rmb20.82

▲ **Price Target (Dec-26):Rmb20.00**

Prior (Dec-26):Rmb18.00

Asia Basic Materials

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Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	1.28	1.65	28.8%
Adj. EPS - 27E (Rmb)	1.30	1.70	30.7%

Style Exposure

Quant Factors	Current	Hist %Rank (1=Top)			
	%Rank	6M	1Y	3Y	5Y
Value	46	53	37	10	10
Growth	89	90	91	80	93
Momentum	7	84	84	88	7
Quality	73	37	35	42	68
Low Vol	35	28	34	80	35
ESGQ	16	28	24	25	23

Yankuang - A

Maintain Neutral

We adjust our model to reflect updated both thermal and coking coal prices, raising 2026-2028E domestic thermal coal prices by 4-15%, domestic coking coal prices by 15-18%. On overseas prices, we lift our assumptions on Australia Newcastle thermal coal futures by 10-14% and our premium coking coal futures by 10-13%. We also raise unit costs to align with company guidance in 1Q26. We therefore raise our 2026-2028E earnings by 20-31% and our PT from Rmb18 to Rmb20. Maintain N on Yankuang.

Price Performance



	YTD	1m	3m	12m
Abs	58.3%	-1.6%	-0.4%	61.4%
Rel	55.2%	-0.5%	-0.6%	40.6%

Company Data

Shares O/S (mn)	10,040
52-week range (Rmb)	27.80-12.00
Market cap (\$ mn)	30,937
Exchange rate	6.76
Free float (%)	24.7%
3M ADV (mn)	68.31
3M ADV (\$ mn)	215.8
Volatility (90 Day)	62
Index	SHASHR
BBG ANR (Buy Hold Sell)	17 2 1

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	144,933	164,489	170,734	171,719
EBITDA	40,079	56,809	57,413	56,697
Adj. EBITDA	40,079	56,809	57,413	56,697
Adj. EBIT	22,809	38,945	39,714	39,268
Adj. net income	8,381	16,518	17,048	16,983
Net income	8,381	16,518	17,048	16,983
Adj. EPS	0.84	1.65	1.70	1.69
BBG EPS	0.99	1.66	1.69	1.81
Net debt	96,094	75,637	54,276	32,336
Cashflow from operations	19,485	46,894	50,039	49,884
Investing cashflow	(16,951)	(16,550)	(15,550)	(14,550)
FCFF	714	30,344	34,489	35,334
Margins and Growth				
Revenue Growth Y/Y (%)	(7.5%)	13.5%	3.8%	0.6%
EBITDA Growth Y/Y (%)	(19.9%)	41.7%	1.1%	(1.2%)
Adj. EPS growth	(44.1%)	96.2%	3.2%	(0.4%)
Ratios				
Adj. tax rate	22.5%	22.5%	22.5%	22.5%
Net debt/EBITDA	2.4	1.3	0.9	0.6
ROCE	8.0%	12.6%	12.3%	11.8%
ROE	8.9%	15.5%	14.6%	13.6%
Valuation				
FCFF yield	0.3%	14.5%	16.5%	16.9%
Dividend yield	2.4%	4.0%	4.1%	4.1%
EV/Revenue	3.4	3.0	2.8	2.7
EV/EBITDA	12.4	8.6	8.3	8.2
Adj. P/E	24.8	12.7	12.3	12.3
P/BV	2.1	1.9	1.7	1.6

Summary Investment Thesis and Valuation

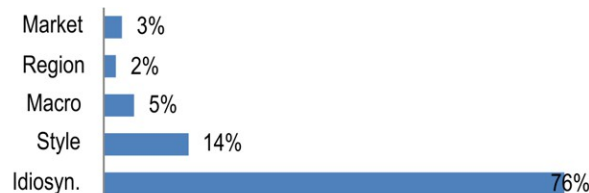
Investment Thesis

Yankuang's high spot exposure — only about 23% of sales are under long-term contracts — positions the company to benefit from any upside in coal prices. We expect prices to remain elevated and volatile in 2H26, with our base case at Rmb805/t for 2026 with upside risk in the near term due to supply constraints and restocking demand. Its higher payout ratio versus traditional SOEs, along with earnings growth from new capacity and one-off gains, supports attractive dividend potential. Yankuang is a beneficiary of a higher coal price (Indonesia disruption), but we expect the impact to be short lived. Maintain Neutral.

Valuation

Our Dec-26 PT for Yankuang-A is Rmb20, based on our NPV valuation using a discount rate of 8.2%.

Performance Drivers



Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP		
Region: China	-0.40	-0.14
Macro:		
Markit EM Composite PMI SA	0.07	0.16
Emerging Central Bank Rate	0.26	0.15
US 10 Year Yield	-0.37	-0.14
Quant Styles:		
LowVol	0.33	0.30
DivYld	0.28	0.30
Size	-0.32	-0.28

Investment Thesis, Valuation and Risks

Yankuang - A *(Neutral; Price Target: Rmb20.00)*

Investment Thesis

Yankuang's high spot exposure—only about 23% of sales are under long-term contracts—positions the company to benefit from any upside in coal prices. We expect prices to remain elevated and volatile in 2H26, with our base case at Rmb805/t for 2026 with upside risk in the near term due to supply constraints and restocking demand. Its higher payout ratio versus traditional SOEs, along with earnings growth from new capacity and one-off gains, supports attractive dividend potential. Yankuang is a beneficiary of a higher coal price (Indonesia disruption), but we expect the impact to be short lived. Maintain Neutral.

Valuation

Our Dec-26 PT for Yankuang-A is Rmb20, based on our NPV valuation using a discount rate of 8.2%.

Risks to Rating and Price Target

Potential upside risks include: 1) better-than-expected cost control; and 2) a stronger-than-expected rebound in seaborne coal prices due to supply disruptions.

Downside risks include: 1) the company's inability to pay out the promised dividend given the high capex cash outflow commitment and volatility in coal prices; and 2) a relaxation of coal import restrictions, which could lead to a decline in domestic coal prices.

Yankuang - A: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	156,672	144,933	164,489	170,734	171,719	Cash flow from operating activities	25,852	19,485	46,894	50,039	49,884
COGS	(107,844)	(109,505)	(111,650)	(114,786)	(116,454)	o/w Depreciation & amortization	17,489	17,270	17,864	17,699	17,429
Gross profit	48,828	35,428	52,839	55,948	55,265	o/w Changes in working capital	6,952	4,212	(2,167)	314	531
SG&A	(15,418)	(12,715)	(14,102)	(14,296)	(14,035)						
Adj. EBITDA	50,039	40,079	56,809	57,413	56,697	Cash flow from investing activities	(15,458)	(16,951)	(16,550)	(15,550)	(14,550)
D&A	(17,489)	(17,270)	(17,864)	(17,699)	(17,429)	o/w Capital expenditure	(22,821)	(18,771)	(16,550)	(15,550)	(14,550)
Adj. EBIT	32,550	22,809	38,945	39,714	39,268	as % of sales	14.6%	13.0%	10.1%	9.1%	8.5%
Net Interest	(3,531)	(3,519)	(3,456)	(3,155)	(2,841)						
Adj. PBT	29,413	18,661	35,087	36,157	36,025	Cash flow from financing activities	(9,770)	(7,662)	(9,888)	(13,128)	(13,393)
Tax	(6,761)	(4,199)	(7,896)	(8,136)	(8,107)	o/w Dividends paid	(23,575)	(18,249)	(9,888)	(13,128)	(13,393)
Minority Interest	(6,571)	(5,217)	(9,810)	(10,109)	(10,072)	o/w Shares issued/(repurchased)	17,489	18,774	0	0	0
Adj. Net Income	14,863	8,381	16,518	17,048	16,983	o/w Net debt issued/(repaid)	11,820	12,262	0	0	0
Reported EPS	1.50	0.84	1.65	1.70	1.69	Net change in cash	537	(4,809)	20,457	21,361	21,941
Adj. EPS	1.50	0.84	1.65	1.70	1.69						
						Adj. Free cash flow to firm	3,031	714	30,344	34,489	35,334
DPS	0.77	0.50	0.82	0.85	0.85	y/y Growth	(249.0%)	(76.4%)	4149.6%	13.7%	2.4%
Payout ratio	51.3%	59.6%	50.0%	50.0%	50.0%						
Shares outstanding	9,897	9,990	10,037	10,037	10,037						
Balance Sheet	FY24A	FY25A	FY26E	FY27E	FY28E	Ratio Analysis	FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	41,079	37,428	57,885	79,245	101,186	Gross margin	31.2%	24.4%	32.1%	32.8%	32.2%
Accounts receivable	13,788	12,355	14,022	14,555	14,639	EBITDA margin	31.9%	27.7%	34.5%	33.6%	33.0%
Inventories	7,869	7,565	7,652	7,861	7,981	EBIT margin	20.8%	15.7%	23.7%	23.3%	22.9%
Other current assets	61,044	87,821	90,563	91,620	91,873	Net profit margin	9.5%	5.8%	10.0%	10.0%	9.9%
Current assets	102,289	125,505	148,704	171,122	193,316						
PP&E	132,663	142,120	140,805	138,656	135,777	ROE	18.5%	8.9%	15.5%	14.6%	13.6%
LT investments	25,660	26,883	26,883	26,883	26,883	ROA	3.9%	1.9%	3.6%	3.5%	3.4%
Other non current assets	89,151	80,554	80,554	80,554	80,554	ROCE	13.1%	8.0%	12.6%	12.3%	11.8%
Total assets	411,903	452,944	474,829	495,097	514,413	SG&A/Sales	9.8%	8.8%	8.6%	8.4%	8.2%
						Net debt/Equity	0.5	0.6	0.4	0.3	0.1
Short term borrowings	42,485	53,032	53,032	53,032	53,032	Net debt/EBITDA	1.6	2.4	1.3	0.9	0.6
Payables	39,409	43,277	43,779	44,975	45,659						
Other short term liabilities	52,834	52,628	52,701	52,876	52,976	Sales/Assets (x)	0.4	0.3	0.4	0.4	0.3
Current liabilities	134,728	148,937	149,512	150,883	151,668	Assets/Equity (x)	4.8	4.6	4.4	4.2	4.0
Long-term debt	79,978	80,490	80,490	80,490	80,490	Interest cover (x)	14.2	11.4	16.4	18.2	20.0
Other long term liabilities	127,554	132,911	132,911	132,911	132,911	Operating leverage	(463.4%)	399.4%	524.3%	52.0%	(194.6%)
Total liabilities	262,282	281,847	282,423	283,794	284,579	Tax rate	23.0%	22.5%	22.5%	22.5%	22.5%
Shareholders' equity	87,872	100,480	111,980	120,769	129,227	Revenue y/y Growth	4.4%	(7.5%)	13.5%	3.8%	0.6%
Minority interests	61,749	70,617	80,426	90,535	100,606	EBITDA y/y Growth	(10.6%)	(19.9%)	41.7%	1.1%	(1.2%)
Total liabilities & equity	411,903	452,944	474,829	495,097	514,412	EPS y/y Growth	(28.8%)	(44.1%)	96.2%	3.2%	(0.4%)
BVPS	8.75	10.01	11.16	12.03	12.87	Valuation	FY24A	FY25A	FY26E	FY27E	FY28E
y/y Growth	(10.6%)	14.4%	11.4%	7.8%	7.0%	P/E (x)	13.9	24.8	12.7	12.3	12.3
						P/BV (x)	2.4	2.1	1.9	1.7	1.6
Net debt/(cash)	81,384	96,094	75,637	54,276	32,336	EV/EBITDA (x)	9.5	12.4	8.6	8.3	8.2
						Dividend Yield	3.7%	2.4%	4.0%	4.1%	4.1%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

Neutral

1171.HK, 1171 HK
 Price (16 Jun 26):HK\$12.88
 Price Target (Dec-26):HK\$14.00

Asia Basic Materials

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 J.P. Morgan Securities (Asia Pacific) Limited/ J.P.
 Morgan Broking (Hong Kong) Limited

Key Changes (FYE Dec)

	Prev	Cur	Δ
Adj. EPS - 26E (Rmb)	1.28	1.65	28.8%
Adj. EPS - 27E (Rmb)	1.30	1.70	30.7%

Style Exposure

Quant Factors	Current %Rank	Hist %Rank (1=Top)			
		6M	1Y	3Y	5Y
Value	24	28	23	5	6
Growth	58	82	89	90	87
Momentum	6	57	80	81	11
Quality	76	28	43	66	70
Low Vol	48	53	52	76	74
ESGQ	16	28	24	25	23

Yankuang - H

Maintain Neutral

We adjust our model to reflect updated both thermal and coking coal prices, raising 2026-2028E domestic thermal coal prices by 4-15%, domestic coking coal prices by 15-18%. On overseas prices, we lift our assumptions on Australia Newcastle thermal coal futures by 10-14% and our premium coking coal futures by 10-13%. We also raise unit costs to align with company guidance in 1Q26. We therefore raise our 2026-2028E earnings by 20-31%. No changes were made to our PT and we rate Yankuang N.

Price Performance



	YTD	1m	3m	12m
Abs	33.9%	-11.0%	-20.6%	57.1%
Rel	38.3%	-5.3%	-15.4%	55.3%

Company Data

Shares O/S (mn)	10,040
52-week range (HK\$)	17.42-7.68
Market cap (\$ mn)	16,507
Exchange rate	7.83
Free float (%)	73.1%
3M ADV (mn)	47.59
3M ADV (\$ mn)	91.3
Volatility (90 Day)	51
Index	HSI
BBG ANR (Buy Hold Sell)	9 2 0

Key Metrics (FYE Dec)

Rmb in millions	FY25A	FY26E	FY27E	FY28E
Financial Estimates				
Revenue	144,933	164,489	170,734	171,719
EBITDA	40,079	56,809	57,413	56,697
Adj. EBITDA	40,079	56,809	57,413	56,697
Adj. EBIT	22,809	38,945	39,714	39,268
Adj. net income	8,381	16,518	17,048	16,983
Net income	8,381	16,518	17,048	16,983
Adj. EPS	0.84	1.65	1.70	1.69
BBG EPS	0.97	1.64	1.66	1.76
Net debt	96,094	75,637	54,276	32,336
Cashflow from operations	19,485	46,894	50,039	49,884
Investing cashflow	(16,951)	(16,550)	(15,550)	(14,550)
FCFF	714	30,344	34,489	35,334
Margins and Growth				
Revenue Growth Y/Y (%)	(7.5%)	13.5%	3.8%	0.6%
EBITDA Growth Y/Y (%)	(19.9%)	41.7%	1.1%	(1.2%)
Adj. EPS growth	(44.1%)	96.2%	3.2%	(0.4%)
Ratios				
Adj. tax rate	22.5%	22.5%	22.5%	22.5%
Net debt/EBITDA	2.4	1.3	0.9	0.6
ROCE	8.0%	12.6%	12.3%	11.8%
ROE	8.9%	15.5%	14.6%	13.6%
Valuation				
FCFF yield	0.6%	27.2%	30.9%	31.7%
Dividend yield	4.5%	7.4%	7.6%	7.6%
EV/Revenue	3.4	3.0	2.8	2.7
EV/EBITDA	12.4	8.6	8.3	8.2
Adj. P/E	13.2	6.8	6.5	6.6
P/BV	1.1	1.0	0.9	0.9

Summary Investment Thesis and Valuation

Investment Thesis

Yankuang's high spot exposure—only about 23% of sales are under long-term contracts—positions the company to benefit from any upside in coal prices. We expect prices to remain elevated and volatile in 2H26, with our base case at Rmb805/t for 2026 with upside risk in the near term due to supply constraints and restocking demand. Its higher payout ratio versus traditional SOEs, along with earnings growth from new capacity and one-off gains, supports an attractive dividend potential. Yankuang is a beneficiary of a higher coal price (Indonesia disruption), but we expect the impact to be short lived. Maintain Neutral.

Valuation

Our Dec-26 PT for Yankuang-H is HK\$14.0, based on an average 3-month rolling A-H premium of 64% applied to our A-share NPV valuation.

Performance Drivers

Market	1%
Region	0%
Macro	11%
Style	9%
Idiosyn.	78%

Factors	6M Corr	1Y Corr
Market: MSCI Asia Pac ex JP	-0.09	-0.08
Region: Hong Kong	0.02	0.05
Macro:		
Markit EM Composite PMI SA	0.34	0.27
JPM Forecast Revision EM	-0.23	-0.19
Emerging Economies CPI(YoY)	-0.36	-0.16
Quant Styles:		
Size	-0.35	-0.31
Momentum	-0.07	-0.26
Growth	-0.07	-0.22

Investment Thesis, Valuation and Risks

Yankuang - H *(Neutral; Price Target: HK\$14.00)*

Investment Thesis

Yankuang's high spot exposure—only about 23% of sales are under long-term contracts—positions the company to benefit from any upside in coal prices. We expect prices to remain elevated and volatile in 2H26, with our base case at Rmb805/t for 2026 with upside risk in the near term due to supply constraints and restocking demand. Its higher payout ratio versus traditional SOEs, along with earnings growth from new capacity and one-off gains, supports an attractive dividend potential. Yankuang is a beneficiary of a higher coal price (Indonesia disruption), but we expect the impact to be short lived. Maintain Neutral.

Valuation

Our Dec-26 PT for Yankuang-H is HK\$14.0, based on an average 3-month rolling A-H premium of 64% applied to our A-share NPV valuation.

Risks to Rating and Price Target

Potential upside risks include: 1) better-than-expected cost control; and 2) a stronger-than-expected rebound in seaborne coal prices due to supply disruptions.

Downside risks include: 1) the company's inability to pay out the promised dividend given the high capex cash outflow commitment and volatility in coal prices; and 2) a relaxation of coal import restrictions, which could lead to a decline in domestic coal prices.

Yankuang - H: Summary of Financials

Income Statement						Cash Flow Statement					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Revenue	156,672	144,933	164,489	170,734	171,719	Cash flow from operating activities	25,852	19,485	46,894	50,039	49,884
COGS	(107,844)	(109,505)	(111,650)	(114,786)	(116,454)	o/w Depreciation & amortization	17,489	17,270	17,864	17,699	17,429
Gross profit	48,828	35,428	52,839	55,948	55,265	o/w Changes in working capital	6,952	4,212	(2,167)	314	531
SG&A	(15,418)	(12,715)	(14,102)	(14,296)	(14,035)	Cash flow from investing activities	(15,458)	(16,951)	(16,550)	(15,550)	(14,550)
Adj. EBITDA	50,039	40,079	56,809	57,413	56,697	o/w Capital expenditure	(22,821)	(18,771)	(16,550)	(15,550)	(14,550)
D&A	(17,489)	(17,270)	(17,864)	(17,699)	(17,429)	as % of sales	14.6%	13.0%	10.1%	9.1%	8.5%
Adj. EBIT	32,550	22,809	38,945	39,714	39,268	Cash flow from financing activities	(9,770)	(7,662)	(9,888)	(13,128)	(13,393)
Net Interest	(3,531)	(3,519)	(3,456)	(3,155)	(2,841)	o/w Dividends paid	(23,575)	(18,249)	(9,888)	(13,128)	(13,393)
Adj. PBT	29,413	18,661	35,087	36,157	36,025	o/w Shares issued/(repurchased)	17,489	18,774	0	0	0
Tax	(6,761)	(4,199)	(7,896)	(8,136)	(8,107)	o/w Net debt issued/(repaid)	11,820	12,262	0	0	0
Minority Interest	(6,571)	(5,217)	(9,810)	(10,109)	(10,072)	Net change in cash	537	(4,809)	20,457	21,361	21,941
Adj. Net Income	14,863	8,381	16,518	17,048	16,983	Adj. Free cash flow to firm	3,031	714	30,344	34,489	35,334
Reported EPS	1.50	0.84	1.65	1.70	1.69	y/y Growth	(249.0%)	(76.4%)	4149.6%	13.7%	2.4%
Adj. EPS	1.50	0.84	1.65	1.70	1.69						
DPS	0.77	0.50	0.82	0.85	0.85						
Payout ratio	51.3%	59.6%	50.0%	50.0%	50.0%						
Shares outstanding	9,897	9,990	10,037	10,037	10,037						
Balance Sheet						Ratio Analysis					
	FY24A	FY25A	FY26E	FY27E	FY28E		FY24A	FY25A	FY26E	FY27E	FY28E
Cash and cash equivalents	41,079	37,428	57,885	79,245	101,186	Gross margin	31.2%	24.4%	32.1%	32.8%	32.2%
Accounts receivable	13,788	12,355	14,022	14,555	14,639	EBITDA margin	31.9%	27.7%	34.5%	33.6%	33.0%
Inventories	7,869	7,565	7,652	7,861	7,981	EBIT margin	20.8%	15.7%	23.7%	23.3%	22.9%
Other current assets	61,044	87,821	90,563	91,620	91,873	Net profit margin	9.5%	5.8%	10.0%	10.0%	9.9%
Current assets	102,289	125,505	148,704	171,122	193,316	ROE	18.5%	8.9%	15.5%	14.6%	13.6%
PP&E	132,663	142,120	140,805	138,656	135,777	ROA	3.9%	1.9%	3.6%	3.5%	3.4%
LT investments	25,660	26,883	26,883	26,883	26,883	ROCE	13.1%	8.0%	12.6%	12.3%	11.8%
Other non current assets	89,151	80,554	80,554	80,554	80,554	SG&A/Sales	9.8%	8.8%	8.6%	8.4%	8.2%
Total assets	411,903	452,944	474,829	495,097	514,412	Net debt/Equity	0.5	0.6	0.4	0.3	0.1
Short term borrowings	42,485	53,032	53,032	53,032	53,032	Net debt/EBITDA	1.6	2.4	1.3	0.9	0.6
Payables	39,409	43,277	43,779	44,975	45,659	Sales/Assets (x)	0.4	0.3	0.4	0.4	0.3
Other short term liabilities	52,834	52,628	52,701	52,876	52,976	Assets/Equity (x)	4.8	4.6	4.4	4.2	4.0
Current liabilities	134,728	148,937	149,512	150,883	151,668	Interest cover (x)	14.2	11.4	16.4	18.2	20.0
Long-term debt	79,978	80,490	80,490	80,490	80,490	Operating leverage	(463.4%)	399.4%	524.3%	52.0%	(194.6%)
Other long term liabilities	127,554	132,911	132,911	132,911	132,911	Tax rate	23.0%	22.5%	22.5%	22.5%	22.5%
Total liabilities	262,282	281,847	282,423	283,794	284,579	Revenue y/y Growth	4.4%	(7.5%)	13.5%	3.8%	0.6%
Shareholders' equity	87,872	100,480	111,980	120,769	129,227	EBITDA y/y Growth	(10.6%)	(19.9%)	41.7%	1.1%	(1.2%)
Minority interests	61,749	70,617	80,426	90,535	100,606	EPS y/y Growth	(28.8%)	(44.1%)	96.2%	3.2%	(0.4%)
Total liabilities & equity	411,903	452,944	474,829	495,097	514,412						
BVPS	8.75	10.01	11.16	12.03	12.87	Valuation					
y/y Growth	(10.6%)	14.4%	11.4%	7.8%	7.0%		FY24A	FY25A	FY26E	FY27E	FY28E
Net debt/(cash)	81,384	96,094	75,637	54,276	32,336	P/E (x)	7.4	13.2	6.8	6.5	6.6
						P/BV (x)	1.3	1.1	1.0	0.9	0.9
						EV/EBITDA (x)	9.5	12.4	8.6	8.3	8.2
						Dividend Yield	6.9%	4.5%	7.4%	7.6%	7.6%

Source: Company reports and J.P. Morgan estimates.

Note: Rmb in millions (except per-share data). Fiscal year ends Dec. o/w - out of which

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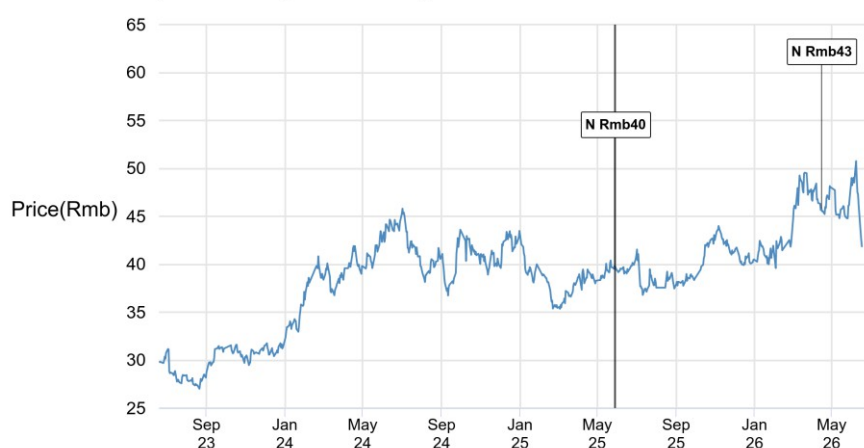
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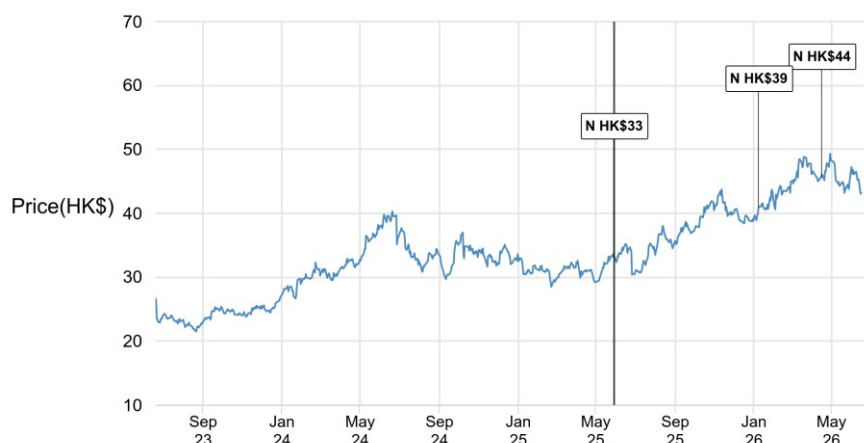
Shenhua - A (601088.SS, 601088 CH) Price Chart



Date	Rating	Price (Rmb)	Price Target (Rmb)
29-May-25	N	39.81	40
16-Apr-26	N	45.83	43

Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Nov 24, 2010. All share prices are as of market close on the previous business day.
Break in coverage Jun 15, 2023 - May 28, 2025.

Shenhua - H (1088.HK, 1088 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Aug 02, 2005. All share prices are as of market close on the previous business day.
Break in coverage Jun 15, 2023 - May 28, 2025.

Date	Rating	Price (HK\$)	Price Target (HK\$)
29-May-25	N	33.65	33
09-Jan-26	N	40.92	39
16-Apr-26	N	45.60	44

Yankuang - A (600188.SS, 600188 CH) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jun 26, 2006. All share prices are as of market close on the previous business day.
Break in coverage Jun 15, 2023 - May 28, 2025.

Date	Rating	Price (Rmb)	Price Target (Rmb)
29-May-25	UW	12.90	10
09-Jan-26	UW	14.25	11
06-Feb-26	N	15.44	16
16-Apr-26	N	19.19	18

Yankuang - H (1171.HK, 1171 HK) Price Chart



Source: Bloomberg Finance L.P. and J.P. Morgan; price data adjusted for stock splits and dividends.
Initiated coverage Jul 26, 2001. All share prices are as of market close on the previous business day.
Break in coverage Jun 15, 2023 - May 28, 2025.

Date	Rating	Price (HK\$)	Price Target (HK\$)
29-May-25	UW	9.29	6.5
06-Feb-26	N	12.34	12
16-Apr-26	N	14.70	14

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